

Some of you may immediately think of reasons for not being able to save at least 10% of your salary, but believe me, 90% of your income will be as sufficient for you as was 100%. If you are starting early in life with this book, 10% savings can be good enough to start with but if you are starting late, then you need to make up for the late start and accordingly plan your savings.

While we may think that 100% of our income is ours, the fact remains that most of it goes in paying others, e.g., the electricity department, water department, phone companies, house rent, etc. This whole concept of 'Pay Yourself First' is based on the simple principle that before I pay anything to anyone, I need to pay myself and only then distribute the balance wisely among others.

So, if you get your salary cheque on the 1st of every month, please make sure that you first withdraw at least 10% of that money (if not more) and put it in your investment nest egg before you start paying any of your bills or start spending on anything else.

The calculations as to how much money would you need on a monthly basis at your age and based on your goals of the nest egg etc., are all explained later in this book. The current section focuses on adapting these principles in general so that they become a part of your daily life.

Revisit these principles as many times as you want... even after you go through the complete book and have started working on your plan. It might take some time imbibing these principles but each one of these is worth its weight in gold.

Unleash the power of compounding

If Christopher Columbus had invested \$1 in 1492 at 5% "simple" interest, today it would be worth approximately \$25 (an increase of 25x). If the interest on the invested \$1 had been compounded annually, guess what it would be today?

Well... more than \$50 billion!